

these state programs is that they typically charge a lower interest rate than you can get on a bank mortgage. (For the website and phone number of your state housing office, see chapter 7.)

If you don't qualify for any of these programs, don't give up. Make it your goal to spend the next one to two years improving your credit score (by paying all your bills on time) and saving up for that down payment. You'd be surprised how quickly you can build your credit record.

For more housing-related tips for buyers and renters, see Chapter 7.

8. Get smart about income tax.

Want to stretch your paycheck further? One way is to decrease the portion that goes to Uncle Sam by taking as many tax deductions as you're eligible for. Deductions are specific expenses that the government allows you to subtract from your income before calculating the amount of tax you're required to pay. Taking advantage of these tax deductions is simple.

The easiest approach is to take the **standard deduction**, which is simply a fixed dollar amount (\$5,700 for singles or \$11,400 for couples in 2009) that you subtract from your income. But you might pay even less if you **itemize** your deductions instead. Itemizing means listing separately the specific items that are deductible under the tax laws and then subtracting their total cost from your income.

If you choose to itemize deductions, you'll have to fill out a tax form called a 1040 (also known as the long form). You'll then have to list your deductions on an attachment to Form 1040 called Schedule A. Among the types of expenses you may be allowed to deduct are state and local taxes you've paid (*or* sales taxes you've paid), charitable donations, and certain moving, job-hunting, business travel, and educational expenses. To figure out whether you should take the standard deduction or itemize, look at the list of deductions beginning on section Some Straightforward Itemized Deductions.

The only way to find out if you can save money on your taxes by itemizing instead of taking the standard deduction is to fill out a copy of Schedule A and see if the amount you're allowed to deduct is greater than the standard deduction. Even if you find that you won't save money by itemizing this year, this exercise will help get you better acquainted with